Granules India Ltd

Concall Tracker, Q1 2027 · NSE: GRANULES · written 6 Nov 2026 · builds on our Q4-2026 report · source: company concall and webinar transcripts via Screener.in

> **Plain-word key. API**: the active drug powder. **Finished dosages (FD)**: ready-to-sell tablets and capsules. **Complex generics**: copies of drugs that are hard to make, so fewer rivals. **Controlled substances**: tightly regulated drugs like ADHD medicines. **Peptide CDMO**: a factory-for-hire making peptide drugs (the class that includes weight-loss drugs), here the Swiss Senn business. **Warning letter**: a formal US FDA penalty that blocks new approvals from a plant. **EBITDA**: operating profit before interest, tax and depreciation. **First-to-file**: the first generic maker to apply, which can win six months with little or no competition.

1. Snapshot

Granules is a Hyderabad drug maker that started out selling cheap bulk paracetamol and metformin powder and has spent years climbing into finished tablets and harder-to-copy US generics. About three-quarters of sales come from the US.

Number	Value	What it means
Market value	₹21,811 cr	What the market says the company is worth today (share price ₹800).
Q1 FY27 sales	₹1,477 cr	Apr-Jun 2026 sales, up 22% on last year. Its best first quarter ever, but flat on the March quarter.
Q1 FY27 EBITDA	₹339 cr	Up 37%. Margin 22.9%, so about ₹23 of operating profit on every ₹100 of sales.
Q1 FY27 profit after tax	₹180 cr	Up 60% on last year.
Gross margin	65.6%	What's left after raw materials. Was about 50% four years ago. This is the value-chain climb in one number.
Net debt	₹101 cr	Down from ₹402 cr in March. By September, after warrant money came in, they said they were net cash.

Market value from Screener.in today. Quarter figures from management on the Q1 FY27 call (consolidated).

2. Which calls were read

Quarter	Call date	How it was used
Q1 FY24 to Q3 FY26 (11 calls)	Aug 2023 to Jan 2026	Carried forward from our Q4-2026 report
Q4 FY26	29 Apr 2026	The prior report's last call (its coverage boundary)
Q1 FY27	**21 Jul 2026**	**Newly read in full ★**
Investor webinar (IIFL)	**29 Sep 2026**	**Newly read in full ★** (strategy day, no new results)

Only the two new transcripts were read in full this time. The backstory comes from the earlier report. The Q2 FY27 call (November) is left for next quarter's report.

★ Latest concall highlights: Q1 FY27 (21 Jul 2026) and the 29 Sep webinar

- **Good quarter.** Sales ₹1,477 cr, up 22%. EBITDA up 37%, profit up 60%. Complex generics are now half of finished-dosage sales, up from 39% a year ago. Cash from operations was ₹387 cr, way above the March quarter, as US customers paid faster.
- **The FDA problem is still open.** The Gagillapur plant's warning letter hasn't been lifted. Management says all fixes are done and 7 of its 8 plants now have clean FDA reports (the US plant in Virginia got its clearance in June). Nine US launches are waiting on this one inspection. In late September they were still saying the FDA could come "anytime now".
- **Peptide arm slipped back.** Senn did CHF 5 million of sales and posted an operating loss of about ₹12 cr, after turning positive in the March quarter. Management blames lumpy project timing and still targets a full-year profit for FY27.
- **Bigger plans.** At the September webinar they laid out about ₹2,000 cr of spending over three to four years, a peptide plant in Vizag, peptide sales of about $50 million a year in three years, and four or five more first-to-file drugs landing between FY30 and FY34.
- **Tone:** confident, but no numbers on growth. Asked about FY27, the chairman said only that growth "will continue". Margins are expected to stay around 22-23%. Raw-material and freight costs are up because of the West Asia trouble.

Business mix & capacity

India vs abroad: overwhelmingly export. The US is about 75% of sales and Europe most of the rest. India is a small slice. Plain read: FDA and US pricing news move this stock.

Main plant (Gagillapur): still running and shipping existing products. Only new approvals are blocked.

New Genome Valley plant: utilisation is "very low" today and should cross 50% by March 2027. The last report noted a target of about 90% by end-FY27, so that ramp is slower than first said. **US plant (Virginia):** about 70% full, with a small expansion planned for 2028.

★ Since our last report

Builds on the Q4-2026 report (last call 29 Apr 2026). Prior verdicts: trigger **YES**, management **MAYBE**.

Prior read	What we said then	What the new calls show	Movement
Trigger: YES	Value-chain climb finally showing in sales	Another quarter of 20%+ growth; complex generics at half of finished dosages	Confirmed
Management: MAYBE	Core delivered, side bets and timelines slip	Same pattern. Core fine, two timelines slipped.	On-track
FDA clearance at Gagillapur	Close to a decision, not closed	Still waiting. Other plants cleared.	Slipping (no date)
Peptide arm profitable	First positive operating profit in Q4 FY26	Back to a loss in Q1. Full-year profit still the target.	Slipping
Genome Valley ramp	Target ~90% use by end-FY27	Now "more than 50%" by year end	Slipping
Debt	Net debt ₹402 cr	₹101 cr in June, net cash by September	Improving

Verdict change: both unchanged. The business is doing what was promised. The dates around it keep slipping.

3. The earnings trigger

> The driver hasn't changed: sell fewer cheap powders and more hard-to-make finished tablets in the US, especially ADHD drugs and other complex generics. It's working. Gross margin has gone from about 50% to 65% in four years and sales are growing 20%+ again. The next leg is the stuff waiting behind the FDA (nine launches), then oncology from FY29, peptides and first-to-file drugs from FY30. The one thing to watch is that the gross-margin gains haven't fully reached operating profit yet, because R&D spend doubled to about 6% of sales.

Driver	What management said	Evidence so far	Horizon	Strength	Change since last report
Shift to complex finished dosages	Keep raising the complex share	Complex at 50% of FD (39% a year ago); gross margin 65.6%	Now	Strong	↑ still rising
US ADHD / controlled drugs	Keep gaining share; more launches later	4th biggest US player; no new launches in FY27, 1-2 from FY28	Now, more FY28+	Strong	unchanged
FDA clearance at Gagillapur	"Ready any day"	Nine launches waiting; inspection not yet done	Unknown	Moderate (upside if cleared)	unchanged
Peptide CDMO (Senn)	Profitable in FY27; $50m sales in three years	Loss in Q1 after a positive Q4	FY27-FY30	Moderate	↓ quarter went backwards
Oncology and first-to-file drugs	Oncology from FY29; first-to-file wins FY30-34	Two sole first-to-file filings; oncology tiny today	FY29+	Unproven	new detail, still far off

4. Has management been consistent?

Period	What was promised	What actually happened	Verdict
FY24 onward (carried forward)	More finished dosages, higher margins	Done, quarter after quarter, and again in Q1 FY27	Delivered
FY24-FY25 (carried forward)	"About 20% growth"	Three flat years, then 20% in FY26 and 22% in Q1 FY27	Partly (late)
Aug 2024 onward	Quick FDA resolution at Gagillapur	Warning letter, still open two years on	Missed
FY24-FY26	Genome Valley full by end-FY27	Now guided to just over half by end-FY27	Slipping
FY25 Q4	Peptides turn profitable by Q4 FY26	Happened in Q4, reversed in Q1 FY27	Partly
FY23 onward (carried forward)	₹2,000 cr green-chemistry project	Shrunk to a pilot; not mentioned on the new calls	Dropped

Has the story drifted? The core hasn't. It's the same climb-the-value-chain plan they've told for years, and it's showing in the numbers. What's growing is the list of future engines: four of them now, plus "larger opportunities under consideration" in non-tablet areas. The chairman was careful to call those ideas, not commitments, which is fair. But the pattern from last time holds. The main business delivers and the dates on everything else slide by a few quarters. They also still won't give growth guidance, so it's hard to hold them to a number.

5. Bottom line

Durable earning trigger? → YES vs last quarter: unchanged

Another quarter of 20%+ growth with margins up, and complex products now half the tablet business. That's the trigger working in plain sight. An FDA all-clear would add nine launches on top. The risk is that it keeps not coming, and that raw-material costs eat into margins if they can't pass them on.

Management consistent? → MAYBE vs last quarter: unchanged

Honest and open about the FDA, and the core plan keeps landing. But in one quarter the new plant's target got cut, the peptide arm slipped back to a loss, and the FDA date is still open-ended. Good on direction, loose on timing. That's the same read as last quarter.

Built from Granules India's own earnings-call and webinar transcripts on Screener.in and Screener's snapshot figures. Not investment advice.